

Taking a multiple of appropriately calculated current cash flows, however, might not capture the crucial element of a business's value. Ultimately, it is the future cash flows of a business that matter. If assessing the drivers of a company's current cash flow is an imperfect art, evaluating the likely path of future cash flows is even more daunting, especially as past may not be prologue.

Given the difficulty of such forecasting, Graham and Dodd believed this was an endeavor best avoided. In the preface to the first edition of *Security Analysis*, the authors said, "Some matters of vital significance, e.g., the determination of the future prospects of an enterprise, have received little space, because little of definite value can be said on the subject." (First Edition Preface) But in today's investing world, something can and in fact must be said about future cash flow. Clearly, a company that generates \$1 per share of cash flow today that is reasonably expected to grow to \$2 per share of cash flow five years from now is worth considerably more than one with no growth. The quality and source of these cash flows are also relevant. It matters whether the growth is organic or is expected to come from acquisitions, is steady or cyclical, and whether large capital investments are necessary to achieve it. A further complication is that companies can increase their cash flows in many different ways. They can sell the same volume of goods but at a higher unit price, or sell more goods albeit at the same, or an even lower, price. They might change their product offerings, to sell more of the higher profit-margin items, or they may develop an entirely new product line. Cash flow growth from cutting costs has very different ramifications for a company than the growth that occurs from expanding one's customer base; when expenses are trimmed, muscle may be lost as well as fat. Such decisions, inevitably, also impact customer satisfaction and competitor response. Obviously, some forms of growth are worth more than others. Investors need to dig into the details to understand the true growth characteristics of a business and